SECTION A - 2 MARKS

Q1. (a)

Valuation of shares is the process of finding the real worth of a company's share. It is done when shares are not quoted, or when the market price does not show the true value, for example on amalgamation, conversion of shares, or a purchase of a block of shares.

Q1. (b)

Goodwill is the extra earning power of a business over and above the normal return on the capital employed. It is an intangible asset that arises from reputation, location, efficient management and customer connections.

Q1. (c)

A **liquidator** (Company Liquidator) is the person appointed to wind up a company. He realises the assets, pays the costs and the creditors in the legal order, and distributes any surplus to the shareholders.

Q1. (d)

Preferential creditors are paid before the unsecured creditors. Under Sec. 327 of the Companies Act, 2013, four of them are:

1. **Government dues:** taxes, cesses and rates that became due and payable within 12 months before winding up.
2. **Wages and salary** of employees for not more than 4 months, within the prescribed limit.
3. **Accrued holiday remuneration** payable to employees.
4. **Provident fund, pension, gratuity and ESI** contributions payable by the company as employer.

Q1. (e)

Profit prior to incorporation is the profit earned from the date a running business is taken over to the date the company is incorporated. The company has no legal existence in that period, so this profit is a capital profit. It is transferred to capital reserve and cannot be paid as dividend.

Q1. (f)

1. **Intangible:** Goodwill has no physical form.
2. **Not separable:** It can be sold only along with the business, not by itself.
3. **Fluctuating value:** Its value changes with the earning capacity of the business and does not fall merely by use.
4. **Helps to earn super profit:** It is the reason the business earns more than the normal return.

Q1. (g)

In the Statement of Profit and Loss (Schedule III of the Companies Act, 2013):

1. **Bad debts** are recorded under **Other expenses**.
2. **Employer's contribution to provident fund** is recorded under **Employee benefits expense**.

Q1. (h)

Underwriting of shares is a contract in which underwriters agree, for a commission, to take up the shares that the public does not subscribe. It assures the company that the whole issue will be taken up.

Q1. (i)

Firm underwriting is a definite commitment by an underwriter to take a fixed number of shares, whether or not the public subscribes for them. Those shares are his liability in addition to his share of any shortfall in the public issue.

Q1. (j)

Super profit is the excess of the average profit over the normal profit. Normal profit is capital employed multiplied by the normal rate of return. Super profit = Average profit minus Normal profit.

Section A · 2 marks

Q.P. 54321 · first ten answers

1(a) Valuation of shares
Real worth of a share when the price is unreliable.

1(b) Goodwill
Extra earning power above a normal return.

1(c) Liquidator
Realises assets, pays creditors, returns any surplus.

1(d) Preferential creditors
Govt dues, 4 months' wages, holiday pay, PF and ESI.

1(e) Profit prior to incorporation
Capital profit. Capital reserve. Not a dividend.

1(f) Features of goodwill
Intangible, sold only with the business, fluctuating, earns super profit.

1(g) Schedule III notes
Bad debts: Other expenses. Employer PF: Employee benefits.

1(h) Underwriting
Contract to take the shares the public does not buy.

1(i) Firm underwriting
A fixed number of shares, whether the public subscribes or not.

1(j) Super profit
Average profit minus normal profit.

SECTION B - 5 MARKS

Q2.

Net assets = Total tangible assets minus creditors = 22,00,000 minus 2,00,000 = **Rs. 20,00,000**. This agrees with paid-up capital Rs. 17,50,000 plus general reserve Rs. 2,50,000.
B shares are paid only Rs. 75. A notional call of Rs. 25 a share is added so that both classes can be valued as fully paid, and the Rs. 25 is then deducted from the value of a B share.

Particulars	Rs.
Net tangible assets	20,00,000
Add: Notional call	2,50,000
Assets if fully paid	22,50,000

Value of one fully paid share = 22,50,000 / 20,000 = **Rs. 112.50**.

1. **A equity share** (Rs. 100 paid): **Rs. 112.50**.
2. **B equity share** (Rs. 75 paid): 112.50 minus 25 = **Rs. 87.50**.

Check: (10,000 x 112.50) + (10,000 x 87.50) = 11,25,000 + 8,75,000 = 20,00,000.

Q2 · Value of each class of share

Net assets method, with a notional call

Tangible assets minus creditors	**Rs. 20,00,000**
Add notional call on B shares	**Rs. 2,50,000**
Assets if all shares are fully paid	**Rs. 22,50,000**
Value of one fully paid share	**Rs. 112.50**

A share
Rs. 112.50
Rs. 100 paid

B share
Rs. 87.50
Rs. 75 paid · 112.50 minus 25

Q3.

Year	Profit after tax (Rs.)
1	4,00,000
2	4,25,000
3	4,60,000
4	5,25,000
5	5,90,000
Total	24,00,000

1. **Average profit** = 24,00,000 / 5 = **Rs. 4,80,000**.
2. **Normal profit** = 10% of capital employed Rs. 40,00,000 = **Rs. 4,00,000**.
3. **Super profit** = 4,80,000 minus 4,00,000 = **Rs. 80,000**.
4. **Goodwill** = Super profit x 3 years' purchase = 80,000 x 3 = **Rs. 2,40,000**.

Q3 · Goodwill

3 years' purchase of super profit

Total profit of five years	**Rs. 24,00,000**
Average profit	**Rs. 4,80,000**
Normal profit, 10% of 40,00,000	**Rs. 4,00,000**
Super profit	**Rs. 80,000**
Goodwill = 80,000 x 3	**Rs. 2,40,000**

Q4.

The business was taken over on 1.4.2021, the company was incorporated on 1.7.2021, and the accounts close on 31.3.2022.

1. **Pre-incorporation period:** 1 April 2021 to 30 June 2021 = 3 months.
2. **Post-incorporation period:** 1 July 2021 to 31 March 2022 = 9 months.
3. **Time ratio** = 3 : 9 = **1 : 3**.

Sales ratio: The paper says total sales are Rs. 3,00,000, of which Rs. 10,00,000 relates to the period up to 1.7.2021. Sales of one part cannot be larger than the sales of the whole year, so a sales ratio cannot be calculated from the figures as printed. The time ratio above does not depend on those figures.

Q4 · Time ratio

Takeover 1 Apr 2021 · accounts close 31 Mar 2022

Pre-incorporation	Post-incorporation
3 months	9 months
1 April to 30 June	1 July 2021 to 31 March 2022

Time ratio = 3 : 9 = 1 : 3

Sales of Rs. 10,00,000 cannot come out of total sales of Rs. 3,00,000.

Q5.

Working: cost of goods sold

Particulars	Rs.
Opening stock	1,30,000
Add: Purchases	6,47,000
Less: Returns	3,500
Net purchases	6,43,500
Add: Wages	21,000
Less: Closing stock	1,37,000
Cost of goods sold	6,57,500

Working: other expenses

Particulars	Rs.
Administration expenses	34,680
Sales expenses	8,200
Bad debts	3,400
Sundry expenses	2,000
Preliminary expenses	13,320
Other expenses	61,600

Statement of Profit and Loss of ABC Ltd. for the year ended 31.03.2025

Sales Rs. 9,83,500 less returns Rs. 4,700 is the revenue. Interest on investment is the other income. Wages are in the cost of goods sold. Salaries are the employee benefit. Debenture interest is the finance cost.

Particulars	Rs.
Revenue from operations	9,78,800
Other income	11,400
Total income	9,90,200
Cost of goods sold	6,57,500
Employee benefits	10,000
Finance cost	6,000
Depreciation	70,000
Other expenses	61,600
Total expenses	8,05,100
Profit before tax	1,85,100

No tax is given, so **profit for the year is Rs. 1,85,100**.

Q5 · ABC Ltd.

Statement of profit and loss for the year ended 31.03.2025

Revenue from operations	**9,78,800**
Other income	**11,400**
Total income	**9,90,200**
Cost of goods sold	**6,57,500**
Employee benefits	**10,000**
Finance cost	**6,000**
Depreciation	**70,000**
Other expenses	**61,600**
Total expenses	**8,05,100**
Profit for the year	**1,85,100**

Q6.

1. **On assets realised:** 5% of Rs. 5,00,000 = **Rs. 25,000**.
2. Secured creditors are paid before the unsecured and preferential creditors. Cash left = 5,00,000 minus 1,00,000 minus 25,000 = **Rs. 3,75,000**.
3. Preferential creditors Rs. 2,00,000 plus unsecured creditors Rs. 10,00,000 = Rs. 12,00,000. Only Rs. 3,75,000 is available, so they cannot be paid in full.
4. The 4% is on the amount actually distributed. If that amount is D, then D + 4% of D = 3,75,000.
5. **Remuneration on distribution** = 3,75,000 x 4/104 = **Rs. 14,423.08**. Amount paid to those creditors = Rs. 3,60,576.92.
6. **Total liquidator's remuneration** = 25,000 + 14,423.08 = **Rs. 39,423.08**.

Q6 · Liquidator's remuneration

5% on assets realised, 4% on the amount distributed

Assets realised	**5,00,000**
Less secured creditors	**1,00,000**
Less 5% on assets realised	**25,000**
Cash left for the creditors	**3,75,000**
4% commission, 4/104 of that cash	**14,423.08**
Total remuneration	**39,423.08**

Q7.

Issue: 20,000 shares. Gross liability: X 50% = 10,000, Y 30% = 6,000, Z 20% = 4,000.

Marked applications: X 4,500, Y 3,000, Z 2,500. Total marked = 10,000. Unmarked = 16,000 minus 10,000 = 6,000, shared in 5 : 3 : 2. X 3,000, Y 1,800, Z 1,200.

Particulars	X	Y	Z
Gross liability	10,000	6,000	4,000
Less: Marked	4,500	3,000	2,500
Less: Unmarked	3,000	1,800	1,200
Net liability	2,500	1,200	300

No underwriter is in surplus, so nothing is reallocated. **X takes 2,500 shares, Y 1,200 and Z 300.** Total 4,000, which is the unsubscribed balance (20,000 minus 16,000).

Q7 · Arun Ltd. underwriters

Unmarked applications shared 5 : 3 : 2

Particulars	X	Y	Z
Gross liability	10,000	6,000	4,000
Less marked	4,500	3,000	2,500
Less unmarked	3,000	1,800	1,200
Net liability	2,500	1,200	300

SECTION C - 10 MARKS

Q10.

These are the methods named in Davangere University B.Com. 3.1 (SEP). The prescribed books are Maheshwari, Jain and Narang, Shukla and Grewal, and Tulsian.

Valuation of shares

1. **Net assets method (intrinsic value).** The share is worth the net assets that belong to it. Real assets are taken, fictitious assets such as preliminary expenses are excluded, and outside liabilities and preference capital are deducted. Intrinsic value per equity share = Net assets available to equity holders / Number of equity shares.
2. **Yield method.** The share is worth what its dividend, or the earnings on it, yields as compared with the normal rate. Expected rate = (Profit available for equity / Equity paid-up capital) x 100. Yield value = (Expected rate / Normal rate) x Paid-up value of one share.
3. **Fair value method.** This is the simple average of the other two, and it is used when both the asset backing and the yield should be recognised. Fair value = (Intrinsic value + Yield value) / 2.

Valuation of goodwill

1. **Average profits method.** Average profit = Total of the adjusted profits / Number of years. Goodwill = Average profit x Number of years' purchase. Abnormal items are removed before the average is taken.
2. **Super profits method.** Normal profit = Capital employed x Normal rate of return. Super profit = Average profit minus Normal profit. Goodwill = Super profit x Number of years' purchase. Goodwill arises only when the business earns more than the normal return.
3. **Annuity method.** Super profit is treated as an annuity for a fixed number of years, and it is discounted. Goodwill = Super profit x Present value of an annuity of Re. 1 for the given years at the normal rate. The goodwill is lower than under a plain years' purchase because later years' profit is discounted.

Q10 · Methods in B.Com. 3.1

Davangere University SEP syllabus

Shares

Intrinsic = net assets for equity / number of shares

Yield = (expected rate / normal rate) x paid-up value

Fair value = (intrinsic + yield) / 2

Goodwill

Average profit x years' purchase

Super profit x years' purchase

Annuity: super profit x present value of Re. 1

Q11.

(a) Net asset method

Particulars	Rs.
Total assets	10,00,000
Less: Fictitious assets	50,000
Real assets	9,50,000
Less: External liabilities	1,50,000
Net assets	8,00,000
Less: Preference capital	2,00,000
Net assets for equity	6,00,000

Intrinsic value of one equity share = 6,00,000 / 40,000 = **Rs. 15**.

(b) Yield method

Particulars	Rs.
Expected profit after tax	1,00,000
Less: General reserve, 10%	10,000
Less: Preference dividend	10,000
Profit for equity holders	80,000

Expected rate = (80,000 / 4,00,000) x 100 = **20%**. Yield value of one equity share = (20 / 10) x Rs. 10 = **Rs. 20**.

(c) Fair value method

Fair value = (Intrinsic value + Yield value) / 2 = (15 + 20) / 2 = **Rs. 17.50**.

Q11 · Spandu Ltd.

Value of one equity share

Net assets	Yield	Fair value
Rs. 15	**Rs. 20**	**Rs. 17.50**
6,00,000 / 40,000	Expected rate 20%	(15 + 20) / 2

Q12.

Firm underwriting is given apart from the marked forms, and the 1,80,000 applications include the firm shares. Unmarked applications = 1,80,000 minus marked 1,30,000 minus firm 40,000 = **10,000**. These are shared in the gross-liability ratio 1,00,000 : 60,000 : 40,000, that is 5 : 3 : 2. A 5,000, B 3,000, C 2,000.

C's surplus is credited to A and B in 5 : 3.

Particulars	A	B	C
Gross liability	1,00,000	60,000	40,000
Less: Marked	70,000	28,000	32,000
Less: Firm	20,000	10,000	10,000
Less: Unmarked	5,000	3,000	2,000
Balance	5,000	19,000	(4,000)
C's surplus in 5:3	2,500	1,500	4,000
Net liability	2,500	17,500	Nil
Add: Firm underwriting	20,000	10,000	10,000
Total liability	22,500	27,500	10,000

Firm underwriting is credited to the underwriter who agreed to it. That is the treatment in S.P. Jain and K.L. Narang, a book named in the Davangere syllabus, when firm applications are given apart from the marked forms. The same statement then adds the firm shares back, because those shares are also part of each underwriter's liability.

Total liability: A 22,500 shares, B 27,500 shares, C 10,000 shares. Of this, the extra shares still to be taken are A 2,500 and B 17,500. C has already covered its firm shares and has no further shortfall. The extra shares total 20,000, which is the shortfall on the issue (2,00,000 minus 1,80,000).

Q12 · Surya Ltd. underwriters

Firm shares credited to that underwriter, then added back

Particulars	A	B	C
Gross liability	1,00,000	60,000	40,000
Less marked	70,000	28,000	32,000
Less firm	20,000	10,000	10,000
Less unmarked	5,000	3,000	2,000
Net liability	2,500	17,500	Nil
Add firm	20,000	10,000	10,000
Total liability	**22,500**	**27,500**	**10,000**